

Thirteenth Edition

BUSINESS ETHICS

Ethical Decision Making and Cases

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Chapter 6

Ethical Decision Making

Learning Objectives

By the end of this chapter, you should be able to:

- Provide a comprehensive model for ethical decision making in business
- Examine ethical issue intensity as an important element in the ethical decision-making process
- Introduce individual factors that influence business ethical decision making
- Introduce organizational factors that influence business ethical decision making
- Explore the role of opportunity in ethical decision making in business
- Understand normative considerations in ethical decision making
- Recognize the role of institutions in normative decision making
- Examine the importance of morals and values to ethical decision making

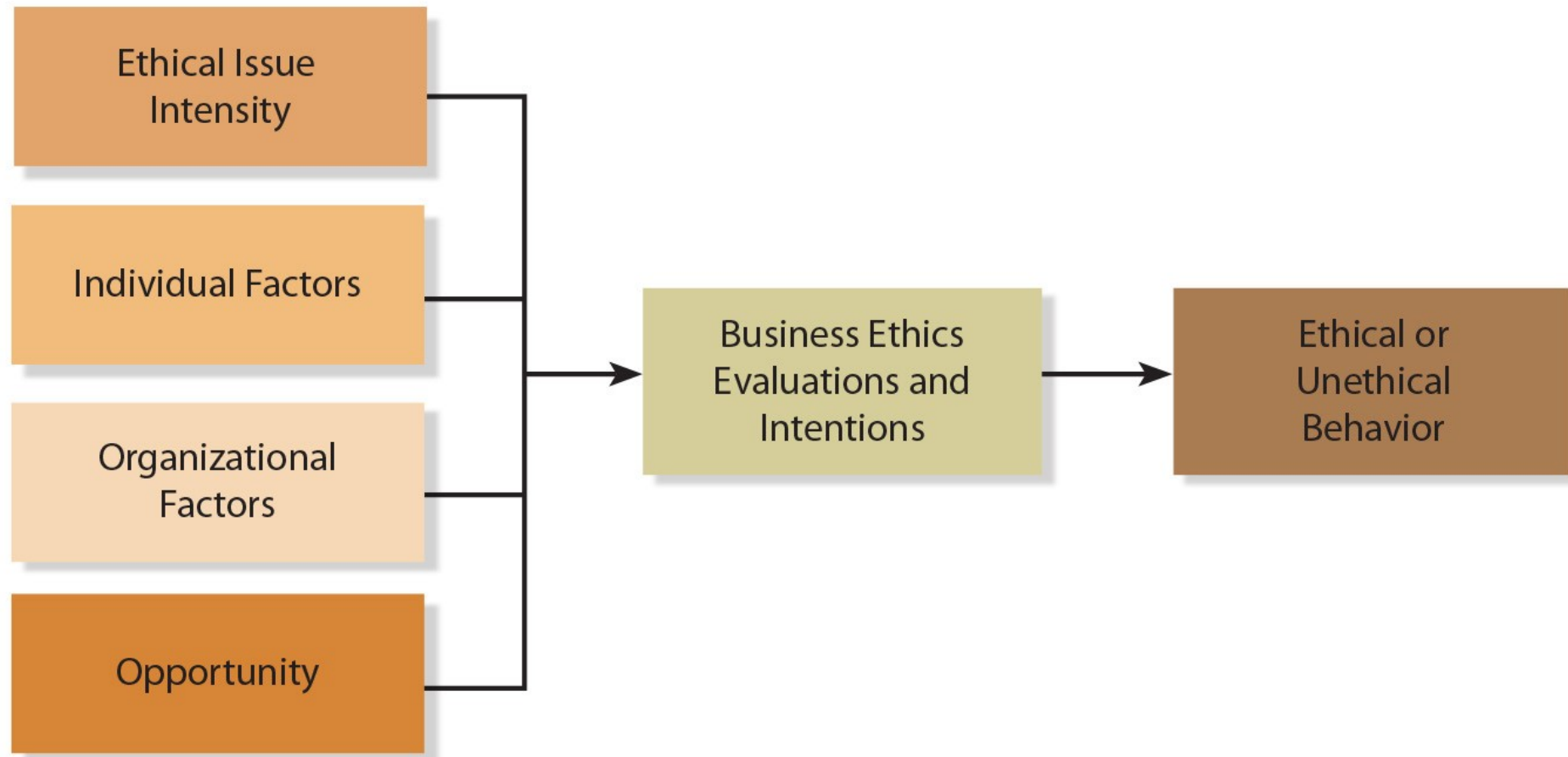
Icebreaker

- What factors within an organization do you think affect ethical decision making?

6-1

A Framework for Ethical Decision Making in Business

FIGURE 6-1 Framework for Understanding Ethical Decision Making in Business



A Framework for Ethical Decision Making in Business 1 of 6

Ethical Issue Intensity

- **Ethical awareness** – The ability to perceive whether a situation or decision has an ethical dimension
- **Ethical issue intensity** – The relevance or importance of an event or decision in the eyes of the individual, work group, and/or organization
 - Personal and temporal in character to accommodate values, beliefs, needs, perceptions, the special characteristics of the situation, and the personal pressures prevailing at a particular place and time
- **Moral intensity** – Individuals' perceptions of social pressure and the harm they believe their decisions will have on others

A Framework for Ethical Decision Making in Business 2 of 6

Individual Factors

- **Gender** – In ethical decision making, research shows that in many aspects there are no differences between men and women.
- **Education** – A significant factor in the ethical decision-making process; generally, the more education or work experience people have, the better they are at making ethical decisions.
- **Nationality** – The legal relationship between a person and the country in which they are born
- **Age** – An individual factor that has a complex relationship with business ethics
 - Younger managers are far more influenced by organizational culture.

A Framework for Ethical Decision Making in Business 3 of 6

Individual Factors (continued)

- **Locus of control** – Individual differences in relation to a generalized belief about how one is affected by internal versus external events or reinforcements
 - **External control** – Individuals with this locus of control see themselves as going with the flow because that is all they can do (life events are due to uncontrollable forces).
 - **Internal control** – Individuals with this locus of control believe they control the events in their lives by their own effort and skill; they view themselves as masters of their destinies and trust in their capacity to influence their environment.

Debate Issue: Take a Stand

- Tension between companies and employees over privacy in the workplace
 - No laws prevent companies from monitoring and tracking employees.
- Companies believe not monitoring leaves them vulnerable to misconduct.
- Employees argue they have a right to privacy.
 - They see tracking as a lack of trust.
 - They think activity outside the workplace should not be monitored.
- Take a stand:
 1. Companies should have the right to track employees through company smartphones and monitor their personal Facebook and Twitter accounts.
 2. Employees should be able to maintain their personal privacy and not be tracked through their company smartphones or their Facebook and Twitter accounts.

A Framework for Ethical Decision Making in Business 4 of 6

Organizational Factors

- **Corporate culture** – A set of values, norms, and artifacts, including ways of solving problems that members (employees) of an organization share
 - Mission statements and objectives
- **Ethical culture** – Acceptable behavior, defined by the company and industry
 - Reflects the integrity of decisions made and is a function of factors, including corporate policies, top management's leadership on ethical issues, the influence of coworkers, and the opportunity for unethical behavior
- **Significant others** – Those who have influence in a work group, including peers, managers, coworkers, and subordinates
- **Obedience to authority** – A reason employees resolve business ethics issues by simply following the directives of a superior

A Framework for Ethical Decision Making in Business 5 of 6

Opportunity

- **Opportunity** – The conditions in an organization that limit or permit ethical or unethical behavior
 - **Immediate job context** – Where individuals work, whom they work with, and the nature of the work
- Can be deterred with formal codes, policies, and rules adequately enforced by management
 - Misconduct can still occur without proper oversight
- Also comes from knowledge, exploiting knowledge

A Framework for Ethical Decision Making in Business 6 of 6

Business Ethics Intentions, Behavior, and Evaluations

- Ethical business issues, dilemmas involve problem-solving situations where the rules governing decisions are often vague or in conflict.
- When intentions and behavior are inconsistent with their ethical judgment, people may feel guilty.
 - The next step is changing the behavior to reduce such feelings.
- The road to success depends on how the businessperson defines success.
 - Success drives intentions and behavior in business either implicitly or explicitly.

6-2

Using the Ethical Decision-Making Model to Improve Ethical Decisions

Using the Ethical Decision-Making Model to Improve Ethical Decisions 1 of 1

- An ethical decision-making model does not help in determining if a business decision is right or wrong.
 - It is intended to provide insights about ethical decision making in businesses.
 - Business ethics involves value judgments and collective agreement about acceptable patterns of behavior.
- Gaining an understanding of the factors that make up ethical decisions helps in differentiating between an ethical issue and a dilemma.

6-3

Normative Considerations in Ethical Decision Making

Normative Considerations in Ethical Decision Making 1 of 3

- **Normative approaches** – How organizational decision makers should approach an issue
 - Different from a descriptive approach that examines how organizational decision makers approach ethical decision making
- Most organizations develop a set of core values to provide enduring beliefs about appropriate conduct within the firm.
 - **Instrumental concern** – Focuses on positive outcomes, including firm profitability and benefits to society

Normative Considerations in Ethical Decision Making 2 of 3

Institutions as the Foundation for Normative Values

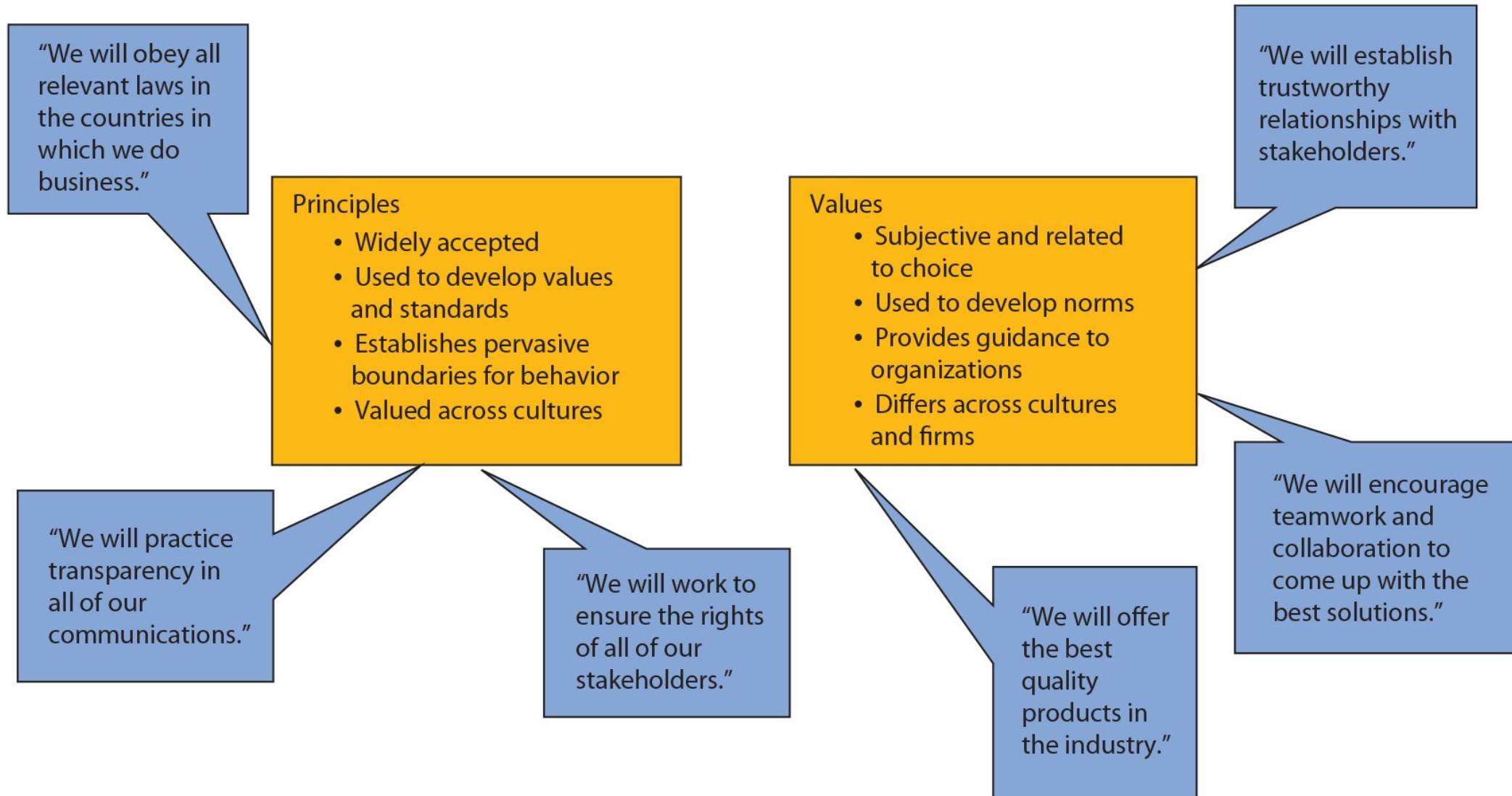
- **Institutional theory** – Theory that organizations operate according to taken-for-granted institutional norms and rules
 - Government, religion, and education are institutions that influence the creation of values, norms, and conventions.
- Industry competition determined by:
 - Barriers to entry into the industry
 - Available substitutes for the products produced by the industry rivals
 - The power of the industry rivals over their customers
 - The power of the industry rivals' suppliers over other rivals

Normative Considerations in Ethical Decision Making 3 of 3

Implementing Principles and Core Values in Ethical Business Decision Making

- **Veil of ignorance** – A thought experiment that examined how individuals would formulate principles if they did not know what their future position in society would be
- **Equality principle** – States that each person has basic rights that are compatible to the basic liberties of others
- **Difference principle** – States that economic and social equalities or inequalities should be arranged to provide the most benefit to the least-advantaged members of society
- Companies convert basic principles into core values:
 - Provide the abstract ideals; operate in a sustainable manner, collaboration and teamwork, avoid bribery; provide a blueprint into the firm's goals, ethical decision making

FIGURE 6-4 Principles and Values



Knowledge Check

Question: What states that each person has basic rights that are compatible to the basic liberties of others?

6-4

Understanding Ethical Decision Making

Understanding Ethical Decision Making 1 of 1

- Top-level support for ethical behavior is instrumental in helping employees engage in their personal approaches to ethical decision making.
- Normative perspectives set forth ideal goals to which organizations should aspire.
- Knowledge about ethical decision making helps in making good decisions.

Discussion Activity

- Why is effective leadership so important for an organizational ethical culture?

Discussion Activity Debrief

Why is effective leadership so important for an organizational ethical culture?

- An organizational ethical culture is shaped by effective leadership. Without top-level support for ethical behavior, the opportunity for employees to engage in their own personal approaches to business decision making will evolve.
- An ethical corporate culture needs shared values along with proper oversight to monitor the complex ethical decisions being made by employees. It requires the establishment of a strong ethics program to educate and develop compliance policies.